Parshwanath Capital Ventures Fund
SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108
Fund Manager: CA Deep Dalal | **Sponsor:** Jignesh Shah

IPO ANALYSIS REPORT · DRHP

Jagatjit Agri Engineering Limited

Mainboard · Agricultural implements (Super Seeders, straw reapers, laser land levellers, rotavators) · filed 2026-10-01 · lead manager(s): Keynote Financial Services Limited · issue size Rs 349 cr · price band: Not announced · analysed 2026-10-12

CALL

CHECKS

Screen only

0 fail · 7 watch · 6 pass · 2 open

Revenue grew 63.1% in FY26 on a proforma basis with operating margin of 13.5%, but operating cash flow was 8.6% of PAT, three products carry 64.4% of sales, and the reference price of Rs 158.48 (28.1x EPS at the DRHP's own peer average) is about 38x on post-issue earnings.

Revenue FY26 **₹414 cr** CAGR FY24-FY26: **191.1%**	PAT FY26 **₹31 cr** CAGR FY24-FY26: **254.2%**	EBITDA margin **13.5%** FY24	Cash conversion (CFO / PAT, 3 yrs) **69.7%**
Cash tax rate (3 yrs) **26.1%**	P/E at reference (post-issue) **37.6x** peer median: **27.6x**	Blended value (Neutral) **₹61.21** vs reference: **-61.4%**	Reference price **₹158.48** Rs 158.48 = DRHP industry-average P/E of 28.10x (VST Tillers 33.34x, Indo Farm 27.62x, Escorts Kubota 23.35x, closing prices 11-Sep-2026, p. 156) x restated FY26 basic EPS of Rs 5.64 (p. 154). It is a reference point built only from the DRHP, not a price band; the peers are tractor and tiller makers, not implements makers.

Where to focus

! Watch **Cash flow vs profit** p. 88

CFO positive in all three years: Rs 124.93 m / 130.15 m / 26.85 m (FY24/25/26); cumulative CFO/PAT 69.7% (281.93 / 404.39), on mixed standalone and consolidated bases. FY26 CFO/PAT 8.6%: CFO before working capital was Rs 619.53 m, inventory absorbed Rs 445.46 m and other assets Rs 281.35 m. CFO is struck before interest of Rs 101.63 m in FY26.

! Watch **Related-party capex & subsidiaries** pp. 94-95, 301-302, 123-134

Business transfer agreements dated 27-Aug-2025 bought two promoter proprietorships (Rs 69.13 m from Dharam Singh, Rs 255.44 m from Jagatjit Singh) for shares at Rs 1,547 pre-bonus and pre-split (about Rs 33.63 per Rs 5 share), on a single registered valuer's report. The proposed Rs 716.64 m expansion is on 16.20 acres leased from Jagatjit Singh at Rs 0.08 m per month, +15% every three years (p. 129). Related-party loans and advances to promoters outstanding: Rs 45.00 m (Jagatjit Singh) and Rs 10.00 m (Dharam Singh) at 31-Mar-2026 (p. 95).

! Watch **Goodwill vs tangible equity** pp. 85, 91

Goodwill Rs 4.55 m at 31-Mar-2026 against tangible net worth Rs 704.74 m. The proforma balance sheet at 31-Mar-2025 shows goodwill of Rs 65.66 m (p. 91) and a capital reserve of Rs 32.98 m at 31-Mar-2024; the restated FY26 balance sheet carries Rs 4.55 m. The DRHP does not reconcile the two treatments of the same acquisitions.

! Watch **Customer / supplier / geographic concentration** pp. 33, 36, 267

FY26 top customer 25.21%, top 5 40.84%, top 10 50.04% of revenue; in FY25 the top customer (21.86%) was one of the acquired proprietorships. Top supplier 7.94%, top 10 40.53% of raw material purchases in FY26 (76.68% and 96.69% in FY25 and FY24 on restated basis). No long-term supply agreements (p. 23). Top three products (Super Seeder, Straw Reaper, Laser Land Leveller) = 64.40% of FY26 revenue (p. 450). Demand for flagship products depends on CRM and SMAM subsidy schemes (p. 56).

! Watch **Auditor qualifications / changes** pp. 98, 343-344

No qualification or emphasis of matter requiring adjustment (p. 344). Statutory auditor Anup Kumar Jain & Co. appointed 30-Sep-2024 on completion of the previous auditor's tenure (p. 98). Audit trail: accounting software of the parent had no database-level audit trail up to December 2025 (p. 343).

! Watch **CARO / audit trail** p. 343

CARO 2020 audit trail: feature not enabled at database level for the parent company's accounting software up to December 2025. No adjustment to restated numbers.

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

Forensic scorecard

Ten forensic checks and seven regulatory checks.

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✔ Pass	22:1 bonus (allotted 27-May-2026) and a 1:2 split are applied to EPS and NAV for all years (EPS 5.64 / 1.42 / 0.57; NAV Rs 12.75 on 55,650,984 shares). The FY26 balance sheet share capital of Rs 12.10 m is the pre-bonus count of 1,209,804 shares of Rs 10 (p. 85); post-bonus and split there are 55,650,984 shares of Rs 5 (p. 112). Presentation point only.	pp. 155-156
2	Cash flow vs profit	! Watch	CFO positive in all three years: Rs 124.93 m / 130.15 m / 26.85 m (FY24/25/26); cumulative CFO/PAT 69.7% (281.93 / 404.39), on mixed standalone and consolidated bases. FY26 CFO/PAT 8.6%: CFO before working capital was Rs 619.53 m, inventory absorbed Rs 445.46 m and other assets Rs 281.35 m. CFO is struck before interest of Rs 101.63 m in FY26.	p. 88
3	Current vs deferred tax	✔ Pass	Current tax Rs 130.30 m on PBT of Rs 444.12 m = 29.3% in FY26 (statutory 25.17%); deferred tax is a credit of Rs 0.09 m. Cumulative current tax / PBT 26.1% over FY24-26 (147.09 / 562.64).	p. 87
4	Related-party capex & subsidiaries	! Watch	Business transfer agreements dated 27-Aug-2025 bought two promoter proprietorships (Rs 69.13 m from Dharam Singh, Rs 255.44 m from Jagatjit Singh) for shares at Rs 1,547 pre-bonus and pre-split (about Rs 33.63 per Rs 5 share), on a single registered valuer's report. The proposed Rs 716.64 m expansion is on 16.20 acres leased from Jagatjit Singh at Rs 0.08 m per month, +15% every three years (p. 129). Related-party loans and advances to promoters outstanding: Rs 45.00 m (Jagatjit Singh) and Rs 10.00 m (Dharam Singh) at 31-Mar-2026 (p. 95).	pp. 94-95, 301-302, 123-134
5	Objects arithmetic as price floor	– N.A.	Fresh issue is amount-based (Rs 3,000 m), so no fixed share count and no objects price floor. Identified objects total Rs 2,001.64 m (66.7%); the balance of about Rs 998.4 m is general corporate purposes (stated cap 25% of gross proceeds, Rs 750 m) and offer expenses.	pp. 123-124
6	Revaluation reserve	✔ Pass	No revaluation reserve line in the restated balance sheet.	p. 85
7	Goodwill vs tangible equity	! Watch	Goodwill Rs 4.55 m at 31-Mar-2026 against tangible net worth Rs 704.74 m. The proforma balance sheet at 31-Mar-2025 shows goodwill of Rs 65.66 m (p. 91) and a capital reserve of Rs 32.98 m at 31-Mar-2024; the restated FY26 balance sheet carries Rs 4.55 m. The DRHP does not reconcile the two treatments of the same acquisitions.	pp. 85, 91

#	CHECK	RESULT	FINDING	PAGE
8	Customer / supplier / geographic concentration	! Watch	FY26 top customer 25.21%, top 5 40.84%, top 10 50.04% of revenue; in FY25 the top customer (21.86%) was one of the acquired proprietorships. Top supplier 7.94%, top 10 40.53% of raw material purchases in FY26 (76.68% and 96.69% in FY25 and FY24 on restated basis). No long-term supply agreements (p. 23). Top three products (Super Seeder, Straw Reaper, Laser Land Leveller) = 64.40% of FY26 revenue (p. 450). Demand for flagship products depends on CRM and SMAM subsidy schemes (p. 56).	pp. 33, 36, 267
9	Contingent liabilities	✔ Pass	Contingent liabilities Rs 71.70 m (income tax 0.18, GST 22.67, other 6.50, bank guarantees 42.35) = 10.1% of ICDR net worth of Rs 709.29 m. Litigation materiality threshold is the lowest of three tests, Rs 6.74 m (p. 488).	p. 93
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	! Watch	No qualification or emphasis of matter requiring adjustment (p. 344). Statutory auditor Anup Kumar Jain & Co. appointed 30-Sep-2024 on completion of the previous auditor's tenure (p. 98). Audit trail: accounting software of the parent had no database-level audit trail up to December 2025 (p. 343).	pp. 98, 343-344
R2	CARO / audit trail	! Watch	CARO 2020 audit trail: feature not enabled at database level for the parent company's accounting software up to December 2025. No adjustment to restated numbers.	p. 343
R3	Monitoring agency	! Watch	The company will appoint a monitoring agency before the RHP is filed (pp. 101, 152). Debt repayment object is Rs 185.00 m of borrowings not yet identified by lender. Directors Jagatjit Singh and Dharam Singh were appointed on 29-Sep-2020 while disqualified under the Companies Act (the DRHP states the disqualification subsisted to 31-Oct-2021); an adjudication application was filed on 11-Sep-2026 and is pending (p. 489). Personal guarantees and promoter property security for the borrowings were not tested in this screen.	pp. 101, 152, 489
R4	Eligibility re-computation	✔ Pass	Issue is made under Reg 6(2): not less than 75% of the Net Offer to QIBs because net tangible assets and net worth tests of Reg 6(1)(a) and 6(1)(c) are not met for the preceding three years. KPI EBITDA Rs 557.38 m reproduces from the P&L (PBT 444.12 + finance 101.63 + D&A 46.66 - other income 35.03). Total assets and total liabilities reproduce at Rs 3,188.36 m.	pp. 155-158, 503-504
R5	SME conditions	✔ Pass	Offer for sale of 3,100,000 shares by Jagatjit Singh, 6.3% of his 48,990,736 shares; about Rs 49.1 m at the Rs 158.48 reference = 14.1% of the Rs 3,000 m fresh issue. Test any OFS ceiling against the ICDR as in force when the RHP fixes the price.	p. 82
R6	Lead-manager track record	○ Open	DRHP gives two issues by Keynote Financial Services (Amir Chand Jagdish Kumar (Exports) and CSM Technologies) with 30/90-day moves; both recorded in data/merchant_bankers.json. The BRLM's full track record is delegated to its website (p. 512). Current prices and issuer financials not compiled.	p. 511

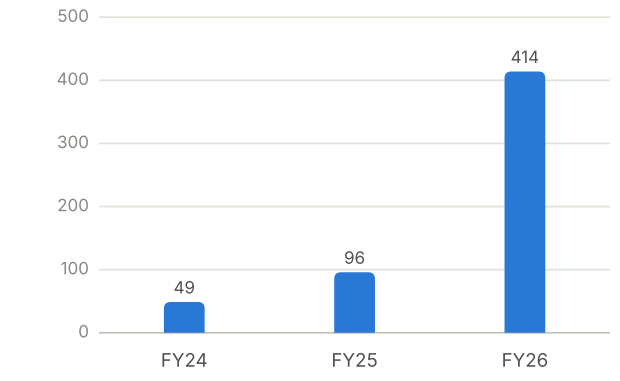
#	CHECK	RESULT	FINDING	PAGE
R7	Firm means of finance	○ Open	Whether the Rs 3,000 m fresh issue needs a separate means-of-finance tie-up beyond the Rs 2,001.64 m identified objects is not stated; general corporate purposes and offer expenses are left blank in the DRHP.	pp. 123-124

Financial performance

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

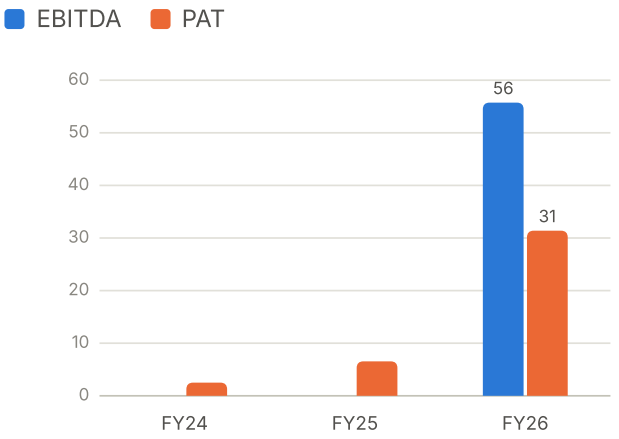
Revenue from operations

Rs crore



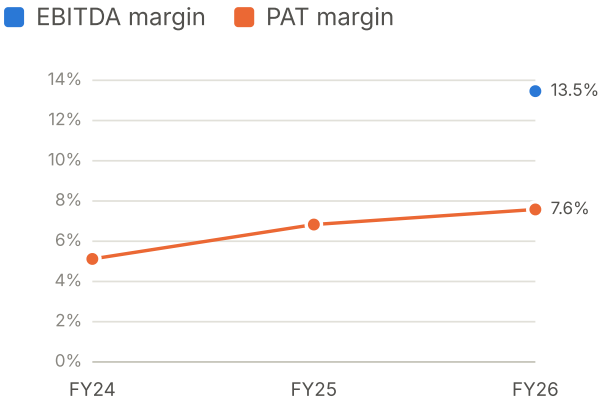
EBITDA and PAT

Rs crore



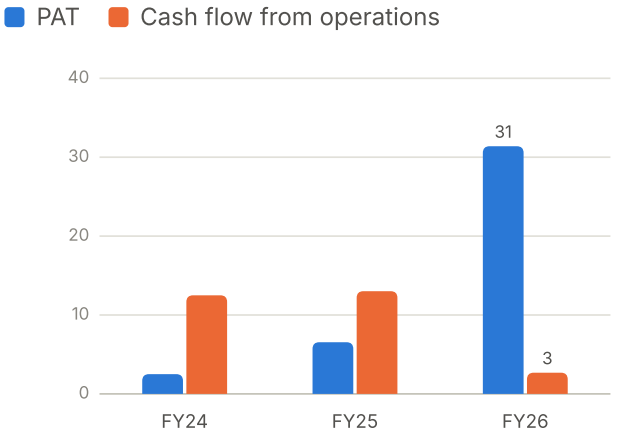
Margins

% of revenue



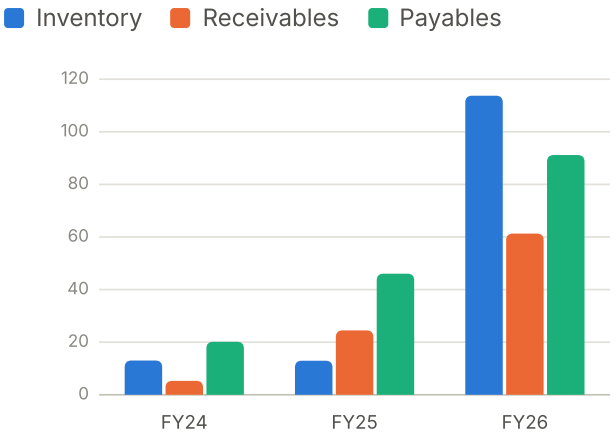
Cash conversion: PAT vs operating cash flow

Rs crore. Profit that does not become cash shows as the gap.



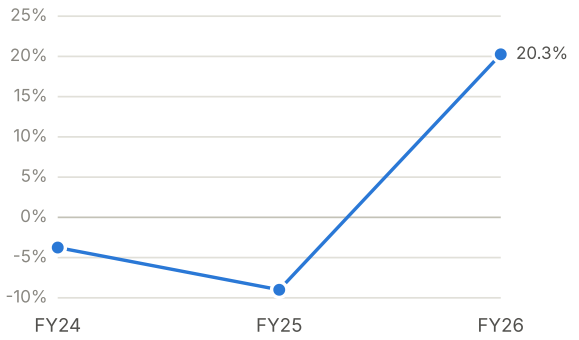
Working capital build-up

Rs crore, year end



Net working capital

% of revenue

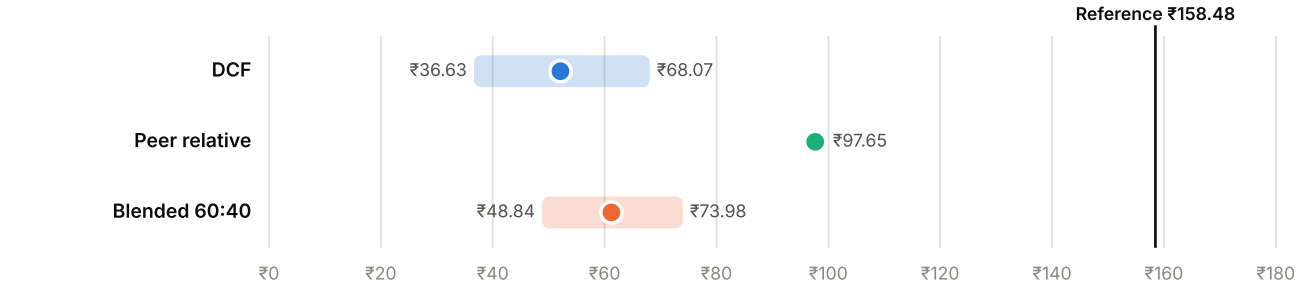


Valuation

DCF and peer-relative values shown separately, then blended 60:40. Reference: Rs 158.48 = DRHP industry-average P/E of 28.10x (VST Tillers 33.34x, Indo Farm 27.62x, Escorts Kubota 23.35x, closing prices 11-Sep-2026, p. 156) x restated FY26 basic EPS of Rs 5.64 (p. 154). It is a reference point built only from the DRHP, not a price band; the peers are tractor and tiller makers, not implements makers.

Valuation range per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical line is the reference price.



Scenario summary

RS/SHARE	DCF	RELATIVE	BLENDED	VS REFERENCE
Bear	₹36.63	₹97.65	**₹48.84**	-69.2%
Neutral	₹52.1	₹97.65	**₹61.21**	-61.4%
Bull	₹68.07	₹97.65	**₹73.98**	-53.3%

WACC **16.1%**

Terminal value share of EV **87.7%**

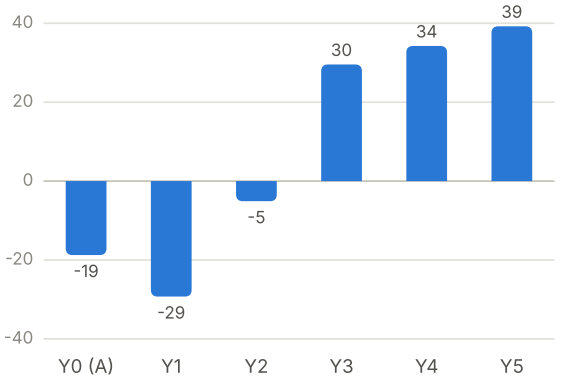
Reverse DCF: what the reference price needs

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	n.m. (FCF negative)	4.5%
implied WACC at terminal g	n.m. (FCF negative)	16.1%
required EBIT margin (steady state)	46.8%	12.3%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	20.3%

Current free cash flow is negative: no multiple can be stated, and the entire price rests on a turn that has not yet begun.

DCF projection (Neutral): free cash flow to firm

Rs crore; Y0 is the latest audited year



Sensitivity: WACC vs terminal growth

Value per share (Rs). Blue above, red below the reference.

WACC	Terminal growth 3.5%	4.0%	4.5%	5.0%	5.5%
14.1%	₹59.36	₹60.12	₹60.94	₹61.84	₹62.83
15.1%	₹54.98	₹55.51	₹56.08	₹56.7	₹57.38
16.1%	₹51.32	₹51.7	₹52.1	₹52.53	₹52.99
17.1%	₹48.24	₹48.5	₹48.78	₹49.08	₹49.39
18.1%	₹45.61	₹45.79	₹45.98	₹46.18	₹46.38

Below reference — Above reference

Sensitivity: working capital vs EBITDA margin

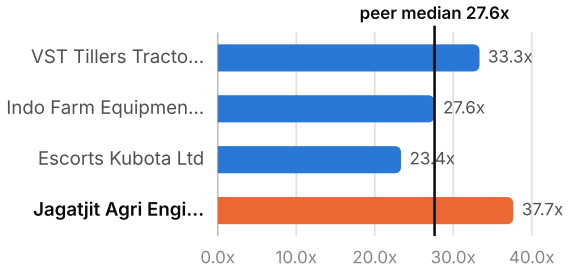
Value per share (Rs). The lever that moves value most deserves the most diligence.

NWC % rev	EBITDA margin 10.5%	11.5%	12.5%	13.5%	14.5%
15%	₹48.1	₹52.27	₹56.45	₹60.62	₹64.79
18%	₹45.93	₹50.1	₹54.27	₹58.45	₹62.62
21%	₹43.75	₹47.93	₹52.1	₹56.28	₹60.45
24%	₹41.58	₹45.76	₹49.93	₹54.1	₹58.28
27%	₹39.41	₹43.58	₹47.76	₹51.93	₹56.1

Below reference — Above reference

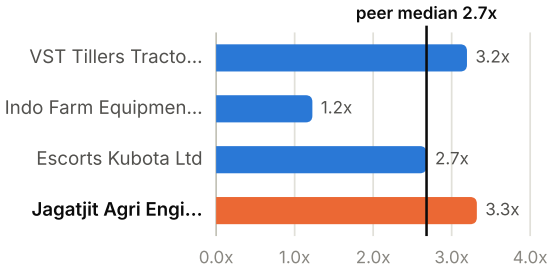
Peer P/E

Issuer at reference price (orange) vs listed peers named in the offer document



Peer P/B

Issuer on post-issue net worth

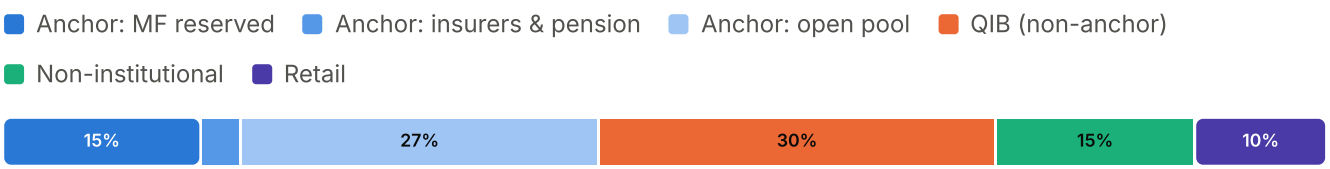


Offer structure and supply

How the issue is split, where an AIF can bid as anchor, and shares that unlock after listing.

Issue split by investor category (Rs 349 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Promoter minimum contribution (20% of post-offer capital, 18 months)	149.2	548
Promoter holding above minimum contribution, after OFS (6 months)	376.1	183
Pre-issue non-promoter shareholders (0.03% promoter group + 0.01% other; 6 months)	0.18	183

Anchor tranches (30 / 90 days) and promoter lock-ins are dated once the RHP fixes the allotment date.

Merchant bankers

Lead managers' recent issues: listing-day open vs issue price (offer-document data) and post-listing moves.

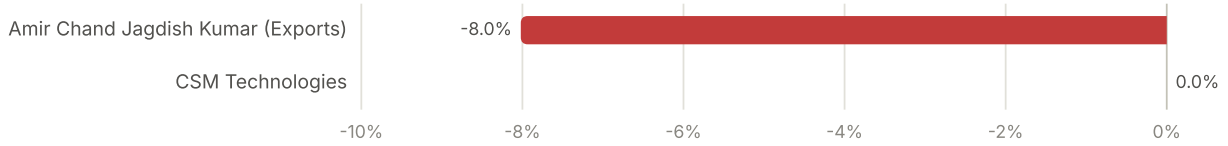
Keynote Financial Services Limited

Listed: Not sourced in this run
Owner: Not sourced in this run (offer document does not state it)

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2026-27	2	586

Listing-day open vs issue price

Recent issues handled by this offer's lead managers



Issuers' revenue growth, FY24 → FY26

Secondary-source financials, unverified (see note)

SWOT

Each point carries its figure and page reference in the note.

STRENGTHS

- Proforma revenue +63.1% in FY26 to Rs 4,139.7 m on units sold of 19,111 (+56.2%) (pp. 92, 87, 158)
- Current tax 29.3% of PBT in FY26, above the 25.17% statutory rate (p. 87)
- Interest coverage 5.03x and debt/equity 1.89x FY26, from 2.70x and 50.36x in FY24 (p. 158)
- Estimated 13% value share in straw reapers and 30% / 15% / 12% of subsidy-scheme Super Seeder units in MP / Haryana / Punjab, issuer-commissioned report (p. 446)
- Capacity utilisation 76.3% FY26: 18,219 units on 23,875 installed (pp. 267-268)

WEAKNESSES

- Operating cash flow Rs 26.85 m vs PAT Rs 313.90 m in FY26 (p. 88)
- Top three products 64.40% of revenue (p. 450); top customer 25.21% (p. 36)
- Other expenses rose to 18.94% of revenue from 12.46% proforma FY25 (pp. 87, 92)
- Inventory 132 days and receivable 45 days in FY26 vs payable 106 days (p. 128)
- Working capital object of Rs 1,100 m is 36.7% of the fresh issue; modelled inventory days stay at about 130 (pp. 124, 128)

OPPORTUNITIES

- Indian farm equipment market Rs 1,397 bn in FY26 to Rs 1,876 bn by FY30, 7.7% CAGR, issuer-commissioned estimate (p. 250)
- Rs 716.64 m Dehlon expansion adds a fabrication unit, utilities unit and R&D unit; no orders placed yet (pp. 129-130)
- Presence in 20 states in FY26 vs 15 in FY25 and 10 in FY24 (p. 158)
- Briquette and pellet machinery for crop residue conversion (p. 446)

THREATS

- CRM and SMAM subsidy changes could cut demand for flagship products (p. 56)
- Monsoon and rural-income cycles; fragmented holdings, 86% of operational holdings are small and marginal (CARE report, p. 241 of PDF)
- Expansion site is 16.20 acres leased from a promoter at Rs 0.08 m per month (p. 129)
- Erstwhile related parties still buy and sell with the company: Rs 164.91 m purchases and Rs 70.00 m sales FY26 (p. 94)
- FY26 is the first consolidated year; no history of the combined business as a listed entity (pp. 301-302)

Due-diligence note

Jagatjit Agri Engineering Limited: DRHP screen

> **Basis.** Draft Red Herring Prospectus dated 25-Sep-2026, filed with SEBI on 01-Oct-2026. Restated financials run to 31-Mar-2026 and are **195 days old** at the date of this note (12-Oct-2026). **No price band has been announced.** Figures are in ₹ million unless stated; ₹ crore = ₹ million ÷ 10. Page numbers are the DRHP's printed folios. All figures are from the DRHP; nothing is taken from outside the document.
>
> **Comparability.** FY26 is consolidated. FY24 and FY25 are standalone and exclude the businesses of two proprietorships owned by the promoters (Saron Mechanical Works I and II), which the company acquired with effect from 1-Apr-2025 (pp. 301–302). The DRHP therefore also gives **proforma** FY24 and FY25 as if the acquisition had happened earlier (pp. 91–92). Growth in this note is stated on the proforma basis unless it says "restated".
>
> Upside is measured against **₹158.48**, a reference point built only from the DRHP: its industry-average P/E of 28.10x (p. 156) times restated FY26 basic EPS of ₹5.64 (p. 154). It is not a price band. The three peers are tractor and tiller makers. Exit route assumed: 2–3 year hold.
>
> A DRHP is a screen, not a decision. The audited record is more than six months old, so no capital should be committed until the RHP, which must carry newer financials, has been read.

Verdict: Screen only. The evidence is mixed.

Strengths: fast, volume-led growth, an adequate cash tax rate and falling leverage.

- Proforma revenue grew from ₹2,074.48 m (FY24) to ₹2,537.60 m (FY25) and ₹4,139.70 m (FY26): +22.3% and +63.1% (pp. 92, 87). Units sold rose from 8,895 to 12,234 to 19,111; FY26 growth was 56.2% in units and 4.4% in revenue per unit (p. 158).
- EBITDA margin was 13.46% in FY26, against 14.51% proforma FY25 and 9.74% proforma FY24 (p. 158).
- Current tax was ₹130.30 m on PBT of ₹444.12 m in FY26, 29.3%, above the 25.17% statutory rate (p. 87).
- Interest coverage was 5.03x and debt to equity 1.89x in FY26, against 2.70x and 50.36x in FY24 (p. 158).

Concerns: cash generation, concentration and what the reference price implies.

- Operating cash flow was ₹26.85 m in FY26 against PAT of ₹313.90 m (8.6%). Cumulative CFO/PAT over FY24–FY26 is 69.7%, on mixed standalone and consolidated bases (p. 88).
- Super Seeder, Straw Reaper and Laser Land Leveller were 64.40% of FY26 revenue, and demand for them depends on the CRM and SMAM subsidy schemes (pp. 450, 56).
- The top customer was 25.21% and the top ten 50.04% of FY26 revenue (p. 36).
- At the ₹158.48 reference, post-issue P/E is 37.7x and P/B 3.3x; return on equity of 44.26% before the issue becomes about 8.8% on post-issue equity (pp. 155, 85; our calculation).
- Two promoter-directors were appointed while disqualified under the Companies Act; an adjudication application is pending (p. 489).

On a cash basis (DCF) value is below the reference in all three scenarios; on peer multiples it is also below it. **The price band, H1 FY27 financials and the RHP's reconciliation of the proforma and restated figures will show whether the reference is too high.**

Snapshot

₹ million	FY24	FY25	FY26
Revenue from operations, restated	488.60	959.26	4,139.70
Revenue from operations, proforma	2,074.48	2,537.60	n.a. (already combined)
EBITDA (issuer KPI), restated	66.66	111.65	557.38
EBITDA margin, proforma	9.74%	14.51%	13.46%
PAT, restated	25.02	65.47	313.90
PAT, proforma	80.82	206.95	n.a.
EPS, post bonus and split (₹), restated	0.57	1.42	5.64
Cash flow from operations, restated	124.93	130.15	26.85
Units sold	8,895*	12,234*	19,111
Borrowings (issuer KPI), restated	267.67	201.44	1,344.07
ROCE (issuer), restated	21.40%	35.59%	31.10%

* Proforma units (p. 158). Restated units were 1,578 and 3,803.

Offer	
Fresh issue	up to ₹3,000 m (a pre-IPO placement of up to ₹600 m may reduce it) (pp. 123–124)
Offer for sale	up to 3,100,000 shares by Jagatjit Singh (promoter), WACA ₹5.40 (p. 82)
Face value / pre-issue shares	₹5 / 55,650,984, of which promoters hold 99.97% (p. 112)
Route	Reg 6(2): not less than 75% to QIBs (p. 503)
BRLM	Keynote Financial Services Limited
Reference issue size	₹3,491 m (₹3,000 m fresh plus the offer for sale at ₹158.48; our calculation)

Business model

What is sold. Tractor-operated and tractor-mounted farm implements under the "Jagatjit" brand: 20+ products and 190+ SKUs, including Super Seeders, straw reapers, laser land levellers, rotavators, mulchers and briquette machines (pp. 446, 450). Revenue by product in FY26 was Super Seeder ₹1,365.60 m (32.99%), Straw Reaper ₹1,079.40 m (26.07%) and Laser Land Leveller ₹221.05 m (5.34%) (p. 450).

To whom. Farmers, mostly through a dealer and distributor network, plus more than 2,500 direct customers in FY26 (p. 260). Domestic customers were 98.61% of FY26 revenue; 20 states were served, against 15 in FY25 and 10 in FY24 (p. 158).

How it is priced and why subsidies matter. Farmers buy a large share of these implements under central and state schemes: the Crop Residue Management scheme and the Sub-Mission on Agricultural Mechanisation, funded roughly 60% by the Centre and 40% by states, with manufacturer empanelment managed state by state (p. 56). The issuer says it obtains approvals so farmers can use subsidies where available (p. 251). The DRHP does not state what share of sales is subsidy-linked.

How it earns its margin. Gross margin rose to 39.06% in FY26 from 37.19% proforma FY25 and 23.58% proforma FY24 (p. 158). Other expenses rose to 18.94% of revenue from 12.46% proforma FY25 (pp. 87, 92). The DRHP does not give the contents of "other expenses".

Owned versus outsourced. Two Punjab plants, Cheema (Sangrur) and Dehlon (Ludhiana), each able to make the whole range (p. 446). The Dehlon plant stands on 16.20 acres leased from Jagatjit Singh at ₹0.08 m per month, rising 15% every three years (p. 129). The trademarks (35) and three patents were assigned to the company by the promoters between Oct-2025 and Sep-2026 (p. 303).

Industry analysis

- **Who paid.** The industry report is by CARE Analytics and Advisory, a subsidiary of CARE Ratings. It was commissioned and paid for by the company for this offer (p. 21). Treat its figures as the issuer's framing.
- **Size and growth.** Indian farm equipment: ₹1,397 bn in FY26, up from ₹769 bn in FY20 (10.5% CAGR), forecast at ₹1,876 bn by FY30, a 7.7% CAGR (p. 250).
- **Structure.** The report says small and marginal farms are about 86% of operational holdings, limiting affordability, and that demand follows monsoon, crop prices and rural income (CARE report, PDF p. 241).
- **Competitors.** The DRHP's listed peers are VST Tillers Tractors, Indo Farm Equipment and Escorts Kubota, and it states that no listed Indian peer has a comparable portfolio and model (p. 156). Competing implement makers were not identified in our reading; this is open.
- **Regulation and cyclicality.** Subsidy design (CRM, SMAM) and monsoon are the two external drivers named in the DRHP (pp. 56, 250).

Moat

- **Brand and distribution.** The brand dates from 1994 and the group's machinery activity from the 1980s (p. 446). Estimated shares, from the issuer-commissioned report: about 13% by value in straw reapers nationally in FY26, and 30% / 15% / 12% of Super Seeder units deployed under subsidy programmes in Madhya Pradesh, Haryana and Punjab (p. 446). These are narrow measures; they do not give a share of total implements sales.
- **Subsidy empanelment.** Approval and empanelment can limit new entrants in a state, but the DRHP gives no count of empanelled rivals.
- **Switching costs.** None are described. Implements are bought per season and the issuer has no long-term supply commitments with customers (p. 36).
- **Intellectual property.** Three patents, 35 registered trademarks (p. 446). Patents were assigned to the company on 21-Sep-2026 (p. 303).

- **Read.** The evidence supports a regional brand and dealer position; it does not yet show pricing power. Gross margin expansion (23.6% to 39.1% proforma) is consistent with either mix or pricing, and the DRHP does not separate them.

Revenue and profit growth drivers

Revenue (proforma). FY25 to FY26: +₹1,602.10 m (+63.1%). Units sold +56.2% (12,234 to 19,111) and revenue per unit +4.4% (₹207.4k to ₹216.6k). FY24 to FY25: units +37.5%, revenue per unit −11.1% (₹233.2k to ₹207.4k) (pp. 92, 158; our calculation). Product contribution: Super Seeder +₹408.5 m and Straw Reaper +₹379.6 m between proforma FY25 and FY26, together 49% of the increase (p. 450).

Profit (proforma). EBITDA margin moved 14.51% to 13.46% (−1.05 pp) in FY26: gross margin +1.87 pp, employee cost −3.56 pp of revenue (10.22% to 6.66%) and other expenses +6.48 pp (12.46% to 18.94%) (pp. 87, 92, 158; our calculation). Proforma employee cost rose from ₹88.52 m to ₹259.35 m between FY24 and FY25; the DRHP does not explain the step. Promoters drew ₹60.00 m of remuneration in FY26 (₹30.00 m, ₹12.00 m and ₹18.00 m), nil in FY25 (p. 94).

One-offs. Other income was ₹35.03 m in FY26 (7.9% of PBT) (p. 87). The provision for expected credit loss was ₹34.90 m (p. 88).

SWOT

	Item
Strengths	Proforma revenue +63.1% in FY26, units +56.2% (pp. 92, 158)
	Current tax 29.3% of PBT in FY26 (p. 87)
	Interest cover 5.03x, debt/equity 1.89x FY26 (p. 158)
	Capacity utilisation 76.3% in FY26: 18,219 units on 23,875 (pp. 267–268)
Weaknesses	CFO ₹26.85 m against PAT ₹313.90 m in FY26 (p. 88)
	Top three products 64.40% of revenue; top customer 25.21% (pp. 450, 36)
	Other expenses 18.94% of revenue against 12.46% proforma FY25 (pp. 87, 92)
	Inventory 132 days against payables 106 days, receivables 45 days (p. 128)
Opportunities	Farm equipment market 7.7% CAGR to FY30, issuer-commissioned (p. 250)
	₹716.64 m Dehlon expansion; no orders placed yet (pp. 129–130)
	20 states in FY26 against 10 in FY24 (p. 158)
	Briquette and pellet machinery (p. 446)
Threats	Change in CRM or SMAM subsidies (p. 56)
	Monsoon and rural-income cycles (CARE report)
	Expansion site leased from a promoter (p. 129)
	Purchases from erstwhile related parties ₹164.91 m in FY26 (p. 94)

The offer and objects

Structure. Fresh issue up to ₹3,000 m and an offer for sale of up to 3,100,000 shares by Jagatjit Singh, who holds 88.03% before the offer (pp. 82, 112). The DRHP states a pre-IPO placement of up to ₹600 m may be made (p. 123). At the ₹158.48 reference the fresh issue is about 18.9 m shares, 25.4% of the 74.6 m post-issue shares; with the offer for sale the free float is about 29.5% (our calculation).

Objects (pp. 124–134).

Object	₹ million	% of identified	% of ₹3,000 m
Working capital	1,100.00	55.0%	36.7%
Dehlon capex	716.64	35.8%	23.9%
Repay borrowings (not yet named)	185.00	9.2%	6.2%
Identified	2,001.64	100%	66.7%
General corporate purposes and offer expenses	about 998.4		33.3%

- General corporate purposes are stated to be capped at 25% of gross proceeds (₹750 m) (p. 124). That leaves at least about ₹248 m for offer expenses if the full ₹3,000 m is raised. The check against the ICDR in force is for the RHP.
- **Working capital.** Standalone requirement ₹1,029.46 m at FY26 rising to ₹2,653.59 m at FY29, with IPO funds of ₹700 m in FY28 and ₹400 m in FY29 (pp. 126–127). Inventory days are held at about 130 and payable days fall from 105 to 95 as IPO funds allow earlier payment (p. 128). The DRHP does not give the revenue projection behind these balances.
- **Capex.** All ₹716.64 m is yet to be ordered; deployment is in FY28 (pp. 124, 129). Quotation validity runs from about Feb-2027 (six months from Aug-2026) to Jul-2027, so several quotations lapse before or near the start of FY28 (pp. 130–134).
- **Debt repayment.** ₹185.00 m of ₹1,344.07 m borrowings. Working capital limits sanctioned were ₹1,150 m, ₹945.02 m utilised at 31-Aug-2026 (p. 125). Whether repayment releases promoter guarantees was not tested.
- **Objects price floor.** Not computable: the fresh issue is an amount, not a share count.

Financials: positives and concerns side by side

Positives	Concerns
Proforma revenue +63.1% FY26, PAT ₹313.90 m (pp. 87, 92)	FY25 restated revenue ₹959.26 m against proforma ₹2,537.60 m: restated growth of 4.3x is a consolidation effect, not organic (pp. 87, 92)
Tax paid in cash: 26.1% of cumulative PBT (p. 87)	CFO 8.6% of FY26 PAT; inventory +₹445.46 m, other assets +₹281.35 m (p. 88)
Equity roll-forward ties: ₹70.78 m opening + ₹313.94 m total comprehensive income + ₹324.57 m shares issued for the acquisitions = ₹709.29 m (pp. 85, 301–302)	Inventory ₹1,137.11 m against ₹129.41 m a year earlier (₹690.80 m proforma) (pp. 85, 91)
Contingent liabilities ₹71.70 m, 10.1% of net worth (p. 93)	Promoters' loans and advances receivable ₹55.00 m at FY26 (p. 95)

Positives	Concerns
Interest cover 5.03x (p. 158)	Related-party purchases ₹164.91 m = 4.0% of FY26 revenue (above the 2% flag) (p. 94)

Cash conversion. Cumulative CFO ₹281.93 m on cumulative PAT ₹404.39 m = 69.7%. FY26 alone 8.6%. Operating profit before working capital was ₹619.53 m in FY26 (p. 88).

Margin and returns. ROE 53.89%, ROCE 31.10% in FY26 on the issuer's definitions (p. 158). On post-issue equity at the reference, ROE is about 8.8% on the same profit (our calculation).

Forensic scorecard

#	Check	Status	Finding
1	Bonus before filing	PASS	22:1 bonus and 1:2 split restated in EPS and NAV for all years (pp. 155–156)
2	Cash flow and CFO/PAT	WATCH	Cumulative 69.7%; FY26 8.6% (p. 88)
3	Current vs deferred tax	PASS	Current tax 29.3% of FY26 PBT; deferred credit ₹0.09 m (p. 87)
4	Related-party capex and funds	WATCH	Acquisitions from promoters for shares at ₹1,547 (pre-bonus) on one valuer's report; expansion on promoter land; ₹55.00 m promoter advances (pp. 95, 129, 301–302)
5	Objects as price floor	N.A.	Amount-based fresh issue (pp. 123–124)
6	Revaluation reserve	PASS	None shown (p. 85)
7	Goodwill vs tangible equity	WATCH	₹4.55 m at FY26 against ₹65.66 m proforma FY25 and a ₹32.98 m capital reserve proforma FY24 (pp. 85, 91)
8	Concentration	WATCH	Top customer 25.21%; top three products 64.40%; supplier top 10 at 40.53% (pp. 33, 36, 450)
9	Contingent liabilities	PASS	₹71.70 m; materiality threshold ₹6.74 m (pp. 93, 488)
10	Investor presentation	N.A.	None reviewed
R1	Auditor	WATCH	No qualification; auditor appointed 30-Sep-2024 (pp. 98, 344)
R2	Audit trail	WATCH	No database-level audit trail up to Dec-2025 (p. 343)
R3	Monitoring agency / governance	WATCH	Agency to be appointed pre-RHP; directors' disqualification matter pending (pp. 101, 489)
R4	Eligibility	PASS	Reg 6(2), 75% to QIBs; KPI EBITDA reproduces (pp. 503, 158)

Our reconciliations: expenses sum to total expenses in all three years; PBT less tax equals PAT; total assets equal total liabilities at ₹3,188.36 m; CFO reproduces from its components in FY26; KPI EBITDA reproduces (pp. 85–88, 158). All reproduced, so the issues above are in the economics and disclosure, not extraction.

Merchant bankers

Keynote Financial Services Limited is the sole BRLM. The offer document states its owner and listing status nowhere; we have not sourced them (rule: no secondary source without naming it).

Issue	Size ₹ m	Price ₹	Listing	Open vs issue	30-day	90-day	180-day
Amir Chand Jagdish Kumar (Exports)	4,400	212	02-Apr-2026	−8.0%	−23.53%	−15.98%	n.a.
CSM Technologies	1,458	113	02-Jul-2026	0.0%	−2.75%	n.a.	n.a.

Source: DRHP p. 511 (BSE data, benchmark Sensex). The summary table shows two IPOs and ₹5,858 m raised in FY2026-27 and none in the two preceding fiscals. The full track record is delegated to the BRLM's website (p. 512).

Neutral read. Two issues in the window, both below issue price at 30 days, one by 23.5%; the sample is too small to characterise. Current prices and three-year financials of these two issuers are not compiled in this run and are logged as a data gap. They are not in `data/merchant_bankers.json` as numbers, to avoid unsourced figures.

Valuation and reverse DCF

Reference: ₹158.48 (see basis). Financial inputs: FY26 consolidated, ₹413.97 cr revenue, ₹55.74 cr EBITDA, ₹31.39 cr PAT, net debt ₹119.42 cr (borrowings including leases less cash and bank balances), trade working capital 20.3% of revenue. Prior-year revenue for growth is the proforma ₹253.76 cr. Cost of capital 16.06% (CAPM build-up, house defaults), terminal growth 4.50%. House policy blend is 60:40; because the issuer identifies no comparable listed peer (p. 156) we used 80:20.

₹ per share	Bear	Neutral	Bull
DCF	36.63	52.10	68.07
Relative (P/E and P/B, peer median less 20%)	97.65	97.65	97.65
Blend (80:20)	48.84	61.21	73.98
Against ₹158.48	−69.2%	−61.4%	−53.3%

- **DCF against relative differ by 46.6%** (Neutral). The relative method prices reported earnings and book value of three tractor makers; the DCF prices cash. Free cash flow is negative for three years (−₹18.7 cr, −₹29.3 cr, −₹5.1 cr in Y1–Y3) because working capital absorbs about 21% of each incremental rupee of revenue and capex runs ahead of depreciation. That gap is the finding.
- **Terminal value is 87.7% of enterprise value**, above the 75% guard. The DCF is mostly a terminal assumption.

- **Peers.** Per-share P/E (23.4x–33.3x) and P/B from the DRHP (p. 156); EV/EBITDA is not used because the DRHP gives the ratio but not net debt or EBITDA for each peer. The 20% discount is ours, for size, regional concentration and a single-year consolidated base. Peer RoNW is 4.4%–11.3%, against the issuer's 44.26% before the issue; on post-issue equity the issuer's return (about 8.8%) sits inside the peers' range.
- **Reverse DCF.** Current free cash flow is negative, so no multiple can be stated: the price rests on a turn that has not yet begun. Holding other inputs at actual levels, the steady-state EBIT margin required to reach ₹158.48 is 46.8% against 12.3% in FY26. A working-capital intensity that supports the price is unreachable. The growth and cost-of-capital levers cannot be solved while free cash flow is negative.
- **The reference is not a market price.** It applies the DRHP's peer-average P/E to pre-issue EPS. The only transaction price in the DRHP is ₹1,547 per ₹10 share (about ₹33.63 per ₹5 share after the bonus and split) for the shares issued to the promoters for their proprietorships; that is a non-cash, related-party valuation, not a market price (pp. 301–302).

What would change our view

1. A price band at or below about ₹61 (the Neutral blend) would remove the valuation gap. A band above ₹158.48 widens it.
2. H1 FY27 operating cash flow above 60% of H1 PAT, with inventory days at or below 110 (against 132 in FY26).
3. A disclosed FY26 revenue and PAT on the proforma basis that reconciles to the consolidated figures, with the ₹88.52 m to ₹259.35 m rise in proforma employee cost explained.
4. Share of sales that is subsidy-linked disclosed, and top three products below 50% of revenue.
5. The goodwill difference (₹65.66 m proforma against ₹4.55 m restated) reconciled by the auditors, and an independent valuation of the promoter proprietorships or a statement of net assets acquired.
6. Repayment or terms of the ₹55.00 m promoter advances before listing.
7. Firm orders placed for at least half of the ₹716.64 m capex, with quotations that cover the FY28 schedule.
8. Disposal of the pending adjudication on the directors' disqualification without penalty above the materiality threshold of ₹6.74 m.

Risks

- Subsidy dependence: the CRM and SMAM schemes can be reduced or discontinued (p. 56).
- Product concentration: three products are 64.40% of revenue (p. 450).
- Customer concentration: top customer 25.21% (p. 36); no long-term contracts.
- Single-year combined history: the two acquired businesses were run by the promoters as proprietorships until 31-Mar-2025 (pp. 301–302).
- Working capital intensity: inventory 132 days; the largest object is working capital (pp. 124, 128).
- Promoter control: promoters hold 99.97% before the offer and will remain the controlling shareholders (p. 112).
- Related parties: promoter-owned land, trademarks and patents, advances and continuing trade (pp. 95, 129, 303).
- Governance: directors served while disqualified (p. 489); no database-level audit trail up to Dec-2025 (p. 343).

- Supply: no long-term supplier agreements (p. 23); top supplier 7.94%, top ten 40.53%, against 96.69% in FY24 restated (p. 33).
- Monsoon and rural income cycles.

Data gaps

Item	Severity	Source
Price band, offer expenses, GCP amount	High	RHP
H1 FY27 financials	High	RHP
FY26 on a like-for-like basis with FY25	High	RHP
Explanation of proforma employee cost ₹88.52 m to ₹259.35 m	Medium	RHP / issuer
Goodwill and purchase accounting of the two acquisitions	Medium	RHP / auditor
₹55.00 m promoter advances: terms and repayment	Medium	RHP
Receivables ageing and ECL provision policy	Medium	RHP
Contracted versus drawn promoter remuneration	Medium	RHP
Subsidy-linked share of sales and receivables	Medium	RHP
Named competitors in implements	Medium	RHP / industry
Pre-IPO placement price and subscribers	Medium	RHP
Current price and financials of the BRLM's two issues	Medium	BSE / NSE
Keynote ownership and listing status	Low	Exchange filings

Verification

- Expenses, PBT, PAT, total assets and total liabilities reproduce for FY24–FY26 (pp. 85–87). CFO reproduces for FY26 (p. 88). KPI EBITDA ₹557.38 m reproduces from the P&L (p. 158).
- Equity rolls forward: ₹70.78 m + ₹313.94 m + ₹324.57 m = ₹709.29 m.
- Valuation workbook recalculated independently by the toolkit for the three scenarios.
- The toolkit's headline growth figure (CAGR of restated revenue FY24–FY26) is not like-for-like and should be read with the proforma figures above.
- Items not tested in this screen: receivables ageing, litigation of promoters and group companies in detail, directors' backgrounds, and the full risk-factor list.

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